

Economics Test -13

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Q1. Which RBI tool refers to buying and selling of bonds issued by the Government in the open market?

- A. Liquidity adjustment facility
- B. Moral suasion
- C. Marginal standing facility

D. Open Market Operations

Solution: Open Market Operations. Liquidity adjustment facility - It is a mechanism that allows banks to borrow or lend funds on an overnight basis to adjust their short-term liquidity mismatches. Marginal Standing facility (MSF) - It enables banks to borrow funds from RBI (Reserve Bank of India) in emergency situations when their liquidity absolutely dries up. Moral suasion - It refers to the use of moral or ethical persuasion by authorities or policymakers to influence economic behavior and decision-making.

Q2. The intervention of the government whether to expand demand or reduce it constitutes the _____.

A. stabilisation function

- B. redistribution function
- C. expenditure function
- D. transition function

Solution: Stabilisation function. Redistribution function - It is the function or mechanism by which resources, wealth, or income are allocated or redistributed within a society or an economy. Expenditure function - It is an economic concept that represents the relationship between the total amount of money spent by individuals, firms, or the government, and the factors that influence their spending decisions. Transition function - It refers to a mathematical or functional relationship that describes how an economy or economic system evolves over time.

Q3. Rotating Savings and Credit Association (ROSCA) was introduced by Shirley Ardener in the year _____.

A. 1964

- B. 1970
- C. 1963
- D. 1955

Solution: 1964. ROSCA is an alternative financial vehicle in which a group of individuals fills the role of an informal financial institution.

Q4. National income received by the households is called _____.

- A. domestic income
- B. professional income
- C. personal income**
- D. disposable income

Solution: Personal income : total earnings of individuals from wages, investment enterprises, and other ventures. Personal Income = National Income - Corporate Income Taxes - Undistributed Corporate Profits - Social Security Contribution + Transfer Payments. Domestic income : net money value of

all the final goods and services produced within a country during one year. disposable income - net amount after paying taxes.

Q5. The 10 th Five-Year Plan aimed at reducing poverty by:

- A. 8%
- B. 9%
- C. 2%

D. 5%

Solution: 5%. The Tenth Five-Year Plan was from 2002 to 2007, under the leadership of Atal Bihari Vajpayee and Manmohan Singh. Target Growth - 8% and Actual Growth - 7.6%. The first five-year plan in India was launched in 1951 and since then, India has witnessed twelve Five Year Plans.

Q6. Which of the following years were considered plan holidays in Independent India?

- A. 1964-1967
- B. 1969-1972
- C. 1966-1969**
- D. 1990-1992

Solution: 1966-1969. This period was a gap between the Third Five-Year Plan (1961-1966) and the Fourth Five-Year Plan (1969-1974). During this time, there was no formal five-year plan, and the government focused on annual plans to address the economic challenges faced by the country.

Q7. The National Family Benefit Scheme was started in August _____ by Government of India.

- A. 1995**
- B. 2000
- C. 2002
- D. 2005

Solution: 1995. Launched under the National Social Assistance Programme (NSAP). Restricted to BPL families. ₹ 20000/- will be given as a lump sum assistance to such surviving members of the household of the deceased poor, who after local inquiry, is found to be the head of the household. The assistance would be given to every case of death of the breadwinner in a family. Schemes & Launching Date - Annapurna Scheme (1st April, 2000), Indira Gandhi National Widow Pension Scheme, IGWPS (February 2009), Indira Gandhi National Disability Pension Scheme, IGNDPS (February 2009).

Q8. Which of the following is NOT a characteristics of the National Investment and Manufacturing Zones (NIMZs) of India ?

- A. A special purpose vehicle will be constituted to take care of the functioning of NIMZs.
- B. The state government will provide power connectivity, water and other infrastructural facilities.
- C. It prescribes a minimum area of 10000 hectares for establishing NIMZs.**
- D. At least 30% of the total land area proposed for the NIMZ is

to be utilized for manufacturing units.

Solution: National Investment and Manufacturing Zones (NIMZs) are special areas in India that aim to attract investments and promote manufacturing. They provide good infrastructure and support for businesses. Focus Areas of NIMZ: To provide a conducive environment for businesses to operate. To attract investment from domestic and foreign companies. Nodal ministry – The Ministry of Commerce and Industry. Government notified the National Manufacturing Policy (NMP) in 2011.

Q9. For a bank, the main liability is the _____

- A. deposits**
- B. economic rent
- C. assets
- D. loans

Solution: Deposits. Liabilities for any firm are its debts or what it owes to others. Assets are things a firm owns or what a firm can claim from others. Economic rent – An amount of money earned that exceeds which is economically or socially necessary. Economic Rent = Marginal Product – Opportunity Cost. Loans – A form of debt incurred by an individual or other entity.

Q10. How many tax slabs are classified in the GST Bill?

- A. Seven
- B. Three
- C. Eight
- D. Four**

Solution: Four. GST rates in 2023: Slabs for any regular taxpayers are presently pegged at 0% (nil-rate), 5%, 12%, 18% & 28%. GST laws were implemented on 1st July, 2017 (replaced Central and State taxes). GST has been implemented under Article 279A of the Indian constitution. GST has been implemented by 101st Constitutional Amendment Act, 2016.

Q11. Sam has an income of ₹9 lakh per annum. Which tax slab (new regime) of India is applicable to him?

- A. 15%**
- B. 10%
- C. 5%
- D. 20%

Solution: Tax slabs in India: Rs 0.0 – Rs 2.5 lakh (NIL), Rs 2.5 lakh – Rs 5.00 lakh (5%), Rs 5.00 lakh – Rs 7.5 lakh (10%), Rs 7.5 lakh – Rs 10.00 lakh (15%), Rs 10.00 lakhs – Rs 12.50 lakh (20%), Rs 12.5 lakhs – Rs 15.00 lakh (25%), and > Rs 15 lakh (30%).

Q12. What is the primary aim of Regional Rural Banks in India?

- A. Development of urban economy
- B. Development of semi-urban economy
- C. Development of rural economy**
- D. Development of metropolitan economy

Solution: Development of rural economy. The Regional Rural Banks (RRBs): Established in 1975 under the Regional Rural Banks Act, 1976 on the recommendations of the Narsimham Committee. The first RRB was Prathama Bank, with its head office in Moradabad, Uttar Pradesh. In India, the Reserve Bank of India (RBI) oversees the entire banking system, while NABARD supervises rural financial institutions, including RRBs

under the Banking Regulation Act, 1949.

Q13. Which among the following statements is incorrect?

- A. An increase in the bank rate will decrease the money supply.
- B. Lower the Cash Reserve Ratio (CRR), lower will be the liquidity in the system.**
- C. Higher the Cash Reserve Ratio (CRR), lower will be the liquidity in the system.
- D. Lower the Statutory Liquidity Ratio (SLR), higher will be the liquidity in the system.

Solution: option (b) is incorrect. The lower the CRR, Higher will be the liquidity in the system. Increasing the CRR reduces the lendable resources of banks, which may lead to a scarcity of funds. Cash reserve Ratio (CRR) – A particular minimum amount of the total deposits of customers that needs to be maintained by the commercial bank as a reserve either as cash or as deposits with RBI. Statutory Liquidity Ratio (SLR) – The minimum percentage of deposits that a commercial bank has to maintain in the form of liquid cash.

Q14. In 2000–01, NABARD instituted Micro Finance Development Fund with a corpus of _____.

- A. ₹189 crores
- B. ₹245 crores
- C. ₹150 crores
- D. ₹100 crores**

Solution: ₹100 crores. The Micro Finance Development Fund was established to support and promote the microfinance sector in India. The fund aimed to support microfinance institutions and promote self-help groups (SHGs) across India. NABARD (National Bank for Agriculture and Rural Development) established on 12 July 1982.

Q15. Among the following, which of these are an example of capital receipt?

- A. Rent and commission received
- B. Sale of goods and rent
- C. Commission and dividend received
- D. Borrowings and loan recovery**

Solution: Borrowings and loan recovery. Capital receipts – Refer to incoming cash flows (receipts) originating from the sale of fixed assets, shares, or debt. Example – Cash received from the sale of fixed assets. Amount received from Shareholders and debenture holders.

Q16. Which of the following currency note was discarded by the Government of India in November 2016?

- A. ₹500**
- B. ₹200
- C. ₹2,000
- D. ₹100

Solution: ₹500. In India, currency notes of ₹500 and ₹1,000 were declared invalid in 2016. The Government of India announced the demonetisation on 8 November 2016. Government-issued new ₹500 and ₹2,000 currency notes soon after the demonetisation. The newly redesigned series of banknotes ₹500 and ₹2,000 were in circulation since 10 November 2016. The issuance of the currency is controlled by the Reserve Bank of India.

Q17. Prathama Bank, the first Regional Rural Bank of India, had its Head Office in which state?

- A. Rajasthan
- B. Madhya Pradesh
- C. Punjab
- D. Uttar Pradesh**

Solution: Uttar Pradesh (Moradabad) . Prathama UP Gramin Bank was created (April 1976) by amalgamating two regional rural banks of Uttar Pradesh (Prathama Bank and Sarva UP Gramin Bank) through Regional Rural Bank Act, 1976. Owner - Government of India (50%), Government of Uttar Pradesh (15%), Punjab National Bank (35%). RRBs (Regional Rural Banks) : Founded - 2 October 1975.

Q18. In the product method for measurement of national income, we need to deduct the value of intermediate goods too _____ .

- A. analyze factors of production
- B. avoid over consumption
- C. avoid double counting**
- D. estimate aggregate value of expenditure

Solution: Avoid double counting . Double counting occurs when the value of a good or service is counted more than once in the calculation of national income. National income is the money value of all the final services and goods produced in an economy during a given period of time. While calculating national income, only the value of final goods and services is to be added.

Q19. The Tendulkar Committee Report (2011-2012) was based on _____ .

- A. population growth
- B. commerce
- C. poverty**
- D. unemployment

Solution: Committees related to Poverty: VM Dandekar and N Rath, Alagh Committee (1979), Lakdawala Committee (1993), Tendulkar Committee (2009) , and C Rangarajan Committee (2012).

Q20. Which type of unemployment is mostly found in urban areas?

- A. Educated unemployment**
- B. Cyclic unemployment
- C. Open unemployment
- D. Seasonal unemployment

Solution: Educated unemployment and Industrial unemployment are mostly found in urban areas. Disguised unemployment and seasonal unemployment are the two most common types of unemployment found in rural India particularly in the farm sector.

Q21. What does 'L' stand for in the LPG Strategy of 1991?

- A. Legislative
- B. Landmark
- C. Liquid
- D. Liberalisation**

Solution: India's New Economic Policy was announced on July 24, 1991 known as the LPG or Liberalisation, Privatisation and

Globalisation model. The LPG Model of development was introduced by then Finance Minister Dr. Manmohan Singh in 1991.

Q22. GDP is an indicator of a country's economy. What does 'D' in GDP stand for?

- A. Development
- B. Domestic**
- C. Dividend
- D. Deficit

Solution: Domestic. Gross Domestic Product (GDP) is the total value of all goods and services produced within a country's borders in a given period of time. It is a measure of the size of a country's economy and its growth rate.

Q23. The Industrial Policy Resolution, 1948 mainly categorised the large-scale industries into _____ fragments.

- A. two
- B. four**
- C. three
- D. five

Solution: Four. The Industrial Policy Resolution of 1948 was India's first major policy document on industries after independence. It was announced by Dr. Shyama Prasad Mukherjee, the then Industry Minister, in the Parliament on April 6, 1948. Four categories: Exclusive monopoly of central government, New undertaking undertaken only by the state, Industries to be regulated by the government, Open to private enterprise, individuals and cooperatives.

Q24. Pradhan Mantri Kaushal Vikas Yojana (PMKVY) was started in which year?

- A. 2017
- B. 2015**
- C. 2014
- D. 2016

Solution: 2015. Pradhan Mantri Kaushal Vikas Yojana (PMKVY) launched by Prime Minister Narendra Modi in New Delhi. Aim - Vocational training and certification to Indian youth. Implementation - Ministry of Skill Development and Entrepreneurship. Related schemes :- STRIVE (Skills Strengthening for Industrial Value Enhancement) 2017 , SANKALP (Skills Acquisition and Knowledge Awareness for Livelihood Promotion) 2018, TEJAS (Training for Emirates Jobs And Skills) 2020.

Q25. Hindustan Aeronautics Limited comes under which sector?

- A. Co-operative sector
- B. Private sector
- C. Foreign sector
- D. Public sector**

Solution: Public sector. Hindustan Aeronautics Limited (HAL) is an Indian 'Navratna' aerospace and defense company, headquartered in Bangalore. Public sector consists of business enterprises owned and managed by the government. Co-operative sector industries are operated and owned by the suppliers or producers of raw materials, workers or both. Private sector is the part of the economy that is run by individuals and companies for profit and is not state

controlled. Foreign sector is the part of a country's economy that is concerned with external trade (imports and exports) and capital flows (inward and outward).

Q26. Calculate personal income (in ₹ crore) from the given data.

- A. 1000
- B. 950
- C. 2050**
- D. 1100

Solution: 2050 . Personal Income = Private Income + Net Retained Earnings of Private Enterprises - (Corporation Tax)
Now applying the formula: Personal Income = 1800 + 500 - (250) Personal Income = 2300 - 250 Personal Income = ₹ 2050 crore

Q27. The financial year in the Indian economy runs from

-----.

- A. 1 January to 31 May
- B. 1 April to 30 June
- C. 1 June to 31 March
- D. 1 April to 31 March**

Solution: The financial year in the Indian economy runs from 1 April to 31 March. India is considered a mixed economy: the private and public sectors co-exist and the country leverages international trade.

Q28. Which of the following was a feature of the Indian economy before the British rule?

- A. Independent economy**
- B. Prosperous economy
- C. Self-reliant economy
- D. Dependent economy

Solution: Independent economy. A prosperous economy is a successful system of trade and industry that usually earns a lot. A self-reliant economy is an economy that is less dependent on other countries and does not require aid from outside the country. Economic dependence in the context of a country's economy refers to a situation where a nation heavily relies on another country or countries for its economic growth and development.

Q29. The GDP estimation method measuring the aggregate value of factor payments is called-----.

- A. product method
- B. value added method
- C. expenditure method
- D. income method**

Solution: Income method. GDP (Gross domestic product) Calculation via Income method = Wages + Interest + Profits + Rent + Depreciation + Net Foreign Factor Income. It gave final income at Factor cost (without tax and subsidies). GDP (market price) = GDP (Factor cost) - subsidies + indirect taxes. Gross Value added (GVA) method - Measure of the total value of goods and services produced in an economy. GVA = Gross Domestic Product + Subsidies on products - Taxes on products. Expenditure method - Consumption + investment + Government spending + export - import.

Q30. Which among the following is the sole note issuing authority in India?

- A. Industrial Finance Corporation of India
- B. National Payments Corporation of India
- C. Reserve Bank of India**
- D. State Bank of India

Solution: Reserve Bank of India - Established on 1 April 1935. Primary functions - To control inflation, encourage growth and achieve financial stability. First Governor of RBI - Sir Osborne Smith. First Indian Governor of RBI - Chintaman Dwarkanath Deshmukh. Headquarters - Mumbai. State Bank of India (Formerly known as Imperial Bank of India) : Founded - 1 July 1955. National Payments Corporation of India - Founded in 2008. Industrial Finance Corporation of India - Founded in 1948.

Q31. In 1955, ----- noted the possibility of using small-scale industries for promoting rural development.

- A. Kelkar Committee
- B. Sarkaria Committee
- C. Karve Committee**
- D. Chakravarty Committee

Solution: Karve Committee. Other committees are: Kelkar Committee - It was formed in 2002 under the chairmanship of Vijay Kelkar. The Kelkar Committee was re-constituted in 2015 to study and evaluate the Public Private Partnership (PPP) model in India. Sarkaria Committee (1983) formed under the chairmanship of Justice R.S. Sarkaria to review the question of center-state relations. The S. Chakravarty Committee (1982) was set up to review the working of the monetary system.

Q32. Value of wheat in flour is a part of ----- method of measurement of its national income.

- A. income
- B. circular income
- C. expenditure
- D. value added**

Solution: Value added - The total sum of the value added by each producing unit should be taken in the national income. National Income - The total value of final goods and services produced by normal residents during an accounting year, after excluding depreciation. It can be measured by three alternative methods, Production Method, Income Method and Expenditure Method.

Q33. Which one of these organizations issues one rupee currency notes and coins in India?

- A. Imperial Bank of India
- B. Industrial Finance Corporation of India
- C. Ministry of Finance**
- D. Central Bank of India

Solution: Ministry of Finance issues coins (under the coinage act 1906) and the one rupee note (bears the signatures of the Finance Secretary), while other notes are printed by the Reserve bank of India (which bears the signatures of the RBI governor).

Q34. Open Market Operations conducted by the Reserve Bank of India (RBI) are of ----- types.

- A. two**

- B. three
- C. five
- D. four

Solution: Open market operations refer to central bank purchases or sales of government securities in order to expand or contract money in the banking system and influence interest rates. Two Types – Outright Purchase is permanent and involves the outright selling or buying of government securities. Repurchase Agreement is short-term and is subject to repurchase.

Q35. The number of times a unit of money changes hands during the unit period is called the _____ .

- A. velocity of circulation of money**
- B. base money
- C. remittances
- D. zero economic profit

Solution: velocity of circulation of money . It is measured by dividing GDP by the country's total money supply. A high velocity of circulation in a country indicates a high degree of inflation. Base money is the total amount of physical currency and coins in circulation, plus the amount of money deposited in banks that is available for lending. Remittances are payments sent by migrants to their families in their home countries. Zero economic profit is a situation in which a business breaks even, meaning that its total revenue is equal to its total costs.

Q36. Change in the inventory of a firm is treated as _____ .

- A. Disinvestment
- B. Investment**
- C. Liability
- D. Asset

Solution: Investment:- It refers to allocating money or resources with the expectation of generating a return or profit over time. Disinvestment is when governments or organizations sell or liquidate assets or subsidiaries. Liability refers to the state of being responsible for something, and this term can refer to any money or service owed to another party. Asset – It is any resource or item of value that an individual or business owns, which has the potential to generate future economic benefits. Examples of assets include cash , stocks, bonds, real estate.

Q37. Which law of economics states "Bad money drives out good money"?

- A. Baxter's Law
- B. Ohm's Law
- C. Gresham's Law**
- D. Gauss's Law

Solution: Gresham's Law. It is a principle in economics named after Sir Thomas Gresham, an English financier, which states that when there are two forms of money in circulation, people tend to hoard or use the better-quality money and spend or circulate the lower-quality money. Baxter's law (also known as the Bell doctrine) is a law of economics that describes how a monopoly in a regulated industry can extend into, and dominate, a non-regulated industry.

Q38. Which of these was NOT one of the reasons for the break in the five year plans after three consequent five year plans were formulated?

- A. Indo-Pakistan conflict
- B. Devaluation of domestic currency
- C. Gulf war**
- D. Two successive years of drought

Solution: Gulf War. Plan Holidays (1966-67, 1967-68, and 1968-69): The Sino-Indian War and the Indo-Pak War, which caused the Third Five-Year Plan to fail, were the primary causes of the plan holidays. This indicated a miserable failure of the Third Five Year Plan (FYP). Third FYP (1961-1966) : Priority was given to agriculture and improvement in the production of wheat. Fourth FYP (1969-1974) – It was based on the Gadgil formula focusing on growth with stability and progress towards self reliance.

Q39. Which of the following is a component of capital budget?

- A. Direct spending
- B. Non-tax revenue
- C. Tax revenue
- D. Non-plan capital expenditure**

Solution: The capital Budget consists of capital receipts (like disinvestment, borrowing, loans from public or foreign governments, Reserve Bank of India, etc) and capital expenditure (like expenditure on the development of machinery, health facilities, etc).

Q40. Which of the following statements is INCORRECT with regard to microfinance?

- A. MFIs are those organizations, other than banks, that provide micro financial services.
- B. MFIs are banks that provide micro financial services.**
- C. Microfinance involves provision of loans to micro, small and medium enterprises.
- D. The RBI is the regulatory body for Micro Finance Institutions (MFIs).

Solution: Micro Finance Institution (MFI) are financial companies that provide small loans to people who do not have any access to banking facilities. All loans that are below Rs.1 lakh can be considered microloans in India. Examples : Self-Employed Women's Association (SEWA, 1972) Ahmedabad was the first modern MFIs in India, Equitas Small Finance, ESAF Microfinance and Investments (P) Ltd, Annapurna Microfinance Pvt Ltd, Asirvad Microfinance Limited.

Q41. Which organization is associated with the estimation of the poverty line in India?

- A. NITI Aayog**
- B. Reserve Bank of India
- C. Indian Council of Agricultural Research
- D. National Sample Survey Organisation

Solution: NITI Aayog. Formed – 1 January 2015, HQ.- New Delhi. Reserve Bank of India: Established – 1 April 1935, HQ.- Mumbai. Indian Council of Agricultural Research: Established – 16 July 1929, Headquarters – New Delhi. National Sample Survey Organisation (NSSO) – it is responsible for conducting large-scale sample surveys in diverse fields on an All India basis.

Q42. Which Five Year Plan in India was based on the Harrod-

Domar Model?

- A. 4th Five Year Plan
- B. 3rd Five Year Plan
- C. 1st Five Year Plan**
- D. 2nd Five Year Plan

Solution: 1st Five Year Plan (1951 – 1956) : The plan focused on the agriculture sector, including investment in dams and irrigation (allocation for Bhakra Nangal Dam). 2nd Five-Year Plan (1956 – 1961) : Based on P.C. Mahalanobis's model. It focused on rapid industrialization and the public sector. 3rd Five-year plan (1961–1966) : Focus was on agriculture and improvement in the production of wheat, Based on Gadgil Formula. 4th Five-Year Plan (1969–74) : 14 major Indian Banks Nationalized, Stressed towards self-reliance.

Q43. Which of the following is an asset that the borrower owns (such as land, building, vehicle, livestock, deposits with banks) and uses this as a guarantee to a lender until the loan is repaid?

- A. Frills
- B. Lease
- C. Collateral**
- D. Credit

Solution: The term collateral refers to an asset that a lender accepts as security for a loan. A lease is a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration. Credit terms are the payment terms mentioned on the invoice at the time of buying goods.

Q44. Competitive behaviour and competitive market structure are _____ related.

- A. not
- B. inversely**
- C. directly
- D. proportionately

Solution: inversely . A perfectly competitive market has been defined as one where an individual firm is unable to influence the price at which the product is sold in the market. The more competitive the market structure, the less competitive the behaviour of the firms. On the other hand, the less competitive the market structure, the more competitive is the behaviour of firms towards each other. Pure monopoly is the most visible exception.

Q45. Which among the following is a public sector bank?

- A. Axis Bank
- B. ICICI Bank
- C. Bank of Baroda**
- D. Yes Bank

Solution: Bank of Baroda . Founder – Maharaja Sayajirao Gaekwad in July 1908. Dena Bank and Vijaya Bank merged into the Bank of Baroda on 17th September 2018. Headquarter – Alkapuri, Vadodara (Gujarat). Public Sector Banks – In which the government holds more than 50% of the total stock. Banks and their Headquarters: Axis Bank – (Mumbai), Established – 1993 (Ahmedabad). ICICI Bank (Mumbai), Established – 1994 (Vadodara).

Q46. Before being replaced by NITI Aayog, which organisation

was responsible for collecting data about unemployment using Lakdawala Formula?

- A. Pay Commission
- B. Finance Commission
- C. Labour Commission
- D. Planning Commission**

Solution: Planning Commission. The Planning Commission was constituted in March, 1950. It formulated the Five-Year Plans of India. On 17 August 2014, it was dissolved and replaced by the NITI Aayog. Niti Aayog was set up on 1st January 2015. The first estimation of Poverty was made by Lakdawala Committee, it was constituted in 1993.

Q47. Which of the following is a correct expression?

- A. Depreciation = Net investment – Gross investment
- B. Gross investment = Net investment – Depreciation
- C. Net investment = Gross investment – Depreciation**
- D. Net investment Gross investment + Depreciation

Solution: Net Investment = Gross Investment – Depreciation . Gross investment – The total expenditure or investment that is made by a company to acquire capital goods. Net Investment – The total amount of money that a company spends on capital assets, minus the cost of the depreciation of those assets. Depreciation – It Represents the estimated reduction in the value of fixed assets within a fiscal year.

Q48. Which of the following is issued by commercial banks at a discount on face value?

- A. Commercial papers
- B. Treasury bills
- C. Certificates of deposits**
- D. Promissory notes

Solution: Certificates of deposits are unsecured, negotiable, short-term instruments in bearer form, issued by commercial banks and development financial institutions. Commercial papers – It is issued by large companies for short-term funding at lower interest rates, with maturities of 15 days to one year. Treasury bills – They are short-term government securities maturing in less than one year.

Q49. In national income accounting, GVA stands for

- A. General vesting added
- B. General visited account
- C. Gross value accounting
- D. Gross value added**

Solution: Gross value added (GVA) – A significant macroeconomic indicator that measures the value of goods and services produced in an economy, after deducting the cost of inputs and raw materials used in the production process. Gross Value Added = GDP + subsidies on products – taxes on products.

Q50. _____ is the one organisation which is representing the entire cooperative movement in India.

- A. NCUI**
- B. NFCSF
- C. TRIFED
- D. NABARD

Solution: NCUI (National Cooperative Union of India) :

Establishment – 1929, Headquarters – New Delhi. The Cooperation Ministry was formed on 6 July 2021. First Cooperation minister – Amit Shah. The National Federation of Cooperative Sugar Factories Limited (NFCFSF) Founded in 1960. The Tribal Cooperative Marketing Development Federation of India (TRIFED) was established in 1987. National Bank for Agriculture and Rural Development (NABARD) was formed in 1982.

Q51. Which of the following statements are true? i. The First Five-Year Plan was based on the PC Mahalanobis model. ii. The First Five-Year Plan laid emphasis on agriculture development. iii. The Five-Year planning model in India was borrowed from Russia.

- A. Only i and iii
- B. Only ii and iii**
- C. Only i and ii
- D. i, ii and iii

Solution: Only ii and iii. The First Five-Year Plan (1951-1956) was based on the Harrod-Domar model, and focused on sectors like agriculture, price stability, power, and transport to address food shortages and promote economic growth. The Mahalanobis model, focused on industrialization, was introduced in the Second Five-Year Plan (1956-1961).

Q52. According to the Ministry of Social Justice and Empowerment, Government of India, What was the percentage of population living below the poverty line in Chhattisgarh in the year 2004-05?

- A. 35.9%
- B. 40.9%**
- C. 32%
- D. 49%

Solution: 40.9%. Poverty line refers to that line which expresses per capita average monthly expenditure that is essentially required by the people to satisfy their minimum needs. As per the Tendulkar committee, the poverty line is estimated on a monthly basis as Rs. 816 in rural areas and Rs. 1000 in urban areas. People who are not able to earn even such an amount in a month are considered below the poverty line.

Q53. Banks are required to keep some reserves in liquid form with themselves. This is called _____.

- A. Marginal stability scheme
- B. Statutory liquidity ratio**
- C. Open market operations
- D. Legal deposit ratio

Solution: Statutory liquidity ratio. It is basically the reserve requirement that banks are expected to keep before offering credit to customers. The SLR is fixed by the RBI and is a form of control over the credit growth in India. Other Terminology – Marginal stability scheme – a monetary policy intervention by the RBI to withdraw excess liquidity (or money supply) by selling government securities in the economy. Open Market Operation is an activity by a central bank to give liquidity in its currency to a bank or a group of banks. Legal reserve ratio refers to the minimum fraction of deposits which the banks are mandated to keep as cash themselves.

Q54. Match the items in List I with those in List II.

- A. i-c, ii-d, iii-a, iv-b
- B. i-a, ii-b, iii-d, iv-c
- C. i-c, ii-a, iii-d, iv-b**
- D. i-d, ii-a, iii-b, iv-c

Solution: i-c, ii-a, iii-d, iv-b. The doctrine of balanced growth states that there should be balanced growth of all sectors of the economy simultaneously. The Big Push theory is a development economics concept that suggests a large, coordinated investment in key areas can lead to sustained economic growth. Capital Goods refer to products that are used in the production of other products but are not incorporated into the new product.

Q55. In 1987, an Action Research Programme was launched by NABARD with _____ based on which a pilot project for linking 500 SHGs with banks was launched.

- A. MYRADA**
- B. IREDA
- C. AMFI
- D. PFRDA

Solution: MYRADA (Mysore Resettlement and Development Agency) : Founded in 1968. Other Associations of NABARD (National Bank for Agriculture and Rural Development) – Rural Infrastructure Development Fund (RIDF) by Government of India (1995-96), Warehouse Infrastructure Fund (WIF) in 2013-14, Designed Kisan Credit Card Scheme (KCC) 1998, Launched E-Shakti for digitisation of Self Help Groups SHGs in 2015.

Q56. Intervention by the monetary authority of a country in the money market to keep money supply stable against exogenous or sometimes external shocks is called _____.

- A. neutralisation
- B. capitalisation
- C. conservation
- D. sterilisation**

Solution: Sterilisation. It refers to the actions taken by a monetary authority, such as a central bank, to offset the effects of foreign exchange operations on the domestic money supply. For instance, if a central bank experiences an inflow of foreign exchange, it might conduct an open market sale of government securities to absorb the excess money and maintain the stability of the money supply. This process helps to protect the economy from external shocks and prevent inflationary or deflationary pressures.

Q57. Calculate the NNP (₹ in crore) at market price from the given data

- A. 1,25,831
- B. 1,42,789**
- C. 1,43,951
- D. 1,24,669

Solution: 1,42,789. NNP (Net National Product) at market price = NDP (Net Domestic Product) at factor cost – Net Income (from abroad) + Net Indirect taxes = 1,25,250 – 581 + 18,120 = 1,42,789. Net national product – The total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation. Indirect tax – The tax levied on the consumption of goods and services. Factor cost – The total cost of all the factors of production in

manufacturing a good.

Q58. With reference to the MGNREGA scheme, how many days of guaranteed wage employment is provided to rural unskilled labour?

A. 100

B. 150

C. 120

D. 90

Solution: 100. MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act) – Launched in 2005 by the Ministry of Rural development. Objective – Increase economic security, Decrease migration of labour from rural to urban areas. As of 2022–23, there are 15.4 crore active workers under the MGNREGA. NREGA was renamed MGNREGA in 2009.

Q59. Why is there low population growth in a society that is underdeveloped and technologically backward?

A. Because both death rate and birth rate are high

B. Because both death rate and birth rate are low

C. Because such countries usually have strict government policies related to population growth

D. Because people migrate from underdeveloped countries

Solution: The first stage is that of low population growth in society because both the death rate and the birth rate are very high so the difference between the two (or the net growth rate) is low. Stage II (Higher than death rate), Stage III (Low birth rate; Curves of both death and birth rate get closer; Population growth rate– Very low), and Stage IV (Birth rate curve further dips, more than the death rate curve; Net population goes down).

Q60. Which of the following is one of the Trustees of the PM CARES Fund?

A. Shri Azim Premji

B. Shri Gautam Adani

C. Shri Mukesh Ambani

D. Shri Ratan N. Tata

Solution: Shri Ratan N. Tata. PM– CARES (Prime Minister's Citizen Assistance and Relief in Emergency Situations) Fund. Members – Ratan Tata (Trustee) & (Chairman Emeritus of Tata Group) Amit Shah (Minister of Home Affairs), Nirmala Sitharaman (Minister of Finance), Rajnath Singh (Minister of Defence). The Prime Minister ex-officio Chairperson of the Board of Trustees of the PM CARES Fund. Three trustees to the Board : Shri Justice K.T. Thomas (Retd.), Shri Kariya Munda, Shri Ratan N. Tata.

Q61. Which of the following statements is/are correct regarding liquidity trap? i. It is the point where speculative demand for money is infinitely inelastic and the liquidity preference curve becomes perfectly elastic. ii. It is the point where speculative demand for money is infinitely elastic and the liquidity preference curve becomes perfectly inelastic. iii. It is the point where speculative demand for money is infinitely elastic and the liquidity preference curve becomes perfectly elastic. iv. It is the point where speculative demand for money and the liquidity preference curve are not related.

A. Only statement i is correct

B. Only Statement iii is correct

C. Only Statement iv is correct

D. Only Statements i and ii are correct

Solution: Liquidity Trap : A situation in which prevailing market interest rates are so low that an increase in money supply has no effect on interest rates. Reason – Increasing household savings, credit crunch and decline in demand for banks; there is an increased affinity for savings, and investments go down. Implications – Economy may be pushed into recession, wages remain stagnant, Consumer prices remain low. A liquidity preference curve is a demand curve for money because a household's or business's value of liquidity is the same as its demand for cash.

Q62. In the situation of liquidity trap, the speculative money demand function becomes _____.

A. unitary elastic

B. infinitely elastic

C. inelastic

D. zero

Solution: infinitely elastic. A liquidity trap – when monetary policy becomes ineffective due to very low interest rates combined with consumers who prefer to save rather than invest in higher-yielding bonds or other investments. Unitary elastic Demand – When the proportional change in demand is equal to the proportional change in price. Inelastic – The static quantity of a good or service when its price changes.

Q63. Push and pull factors are associated with which component of the population?

A. Migration

B. Death rate

C. Birth rate

D. Age

Solution: Push and pull factors are associated with migration. Migration is the movement of humans from one place to another. Push factors: Elements of the origin place that are invoked a desire to leave in people, example– Lack of services, Lack of safety, etc. Pull factors: Elements of the destination that are attracting people such as Higher employment. The other two components of Population are Birth rate and Death rate.

Q64. Antyodaya Anna Yozana (AAY) was launched by the government to fight _____.

A. unemployment

B. poverty

C. environmental degradation

D. population growth

Solution: Antyodaya Anna Yojana (AAY) is a public distribution system scheme that was implemented in India to fight poverty in 2000. It was implemented first in the Rajasthan State. Wheat is provided at Rs.3 per Kg, Rice for Rs.2 per Kg.

Q65. Which of the following is NOT a common product offered by microfinance institutions in India ?

A. Credit cards

B. Personal loans

C. Insurance products

D. Savings accounts

Solution: Credit cards are lines of credit, Used to borrow money with the agreement to pay back the borrowed money with the interest. Microfinance institutions (MFIs) are financial companies that provide small loans to people who do not have any access to banking facilities. Example - Muthoot Microfin Limited, Credit Access Grameen Limited, Spandana Sphoorty Financial Limited. Regulated by Reserve Bank of India (RBI). PM MUDRA (Micro Units Development & Refinance Agency Ltd) Yojana 2015 - Provides funding to the non-corporate businesses through MFIs.

Q66. Which of the following is the correct formula for calculating NNP?

- A. $NNP = GNP - DEPRECIATION$**
- B. $NNP = GNP + DEPRECIATION$
- C. $NNP = GDP - DEPRECIATION$
- D. $NNP = GDP - INCOME$

Solution: $NNP = GNP - Depreciation$. Net National Product (NNP) - Total value of finished goods and services produced by a country's citizens overseas and domestically, minus depreciation. Gross National Product (GNP) is Gross Domestic Product (GDP) plus net factor income from abroad. Depreciation is an annual decrease in the price of a capital goods over a year due to wear and tear and some other reasons.

Q67. NABARD is an apex finance institution set up by the Indian Government in 1982. What does 'R' in NABARD stand for?

- A. Rural**
- B. Rank
- C. Regulatory
- D. Right

Solution: Rural. NABARD (National Bank for Agriculture and Rural Development) an apex development bank in India that provides credit and other financial services to the rural sector. Established - 1982 under the Parliamentary act - National Bank for Agri culture and Rural Development Act, 1981 (Sivaraman committee). Headquarter - Mumbai.

Q68. The movement of people across regions and territories is called _____.

- A. Depopulation
- B. migration**
- C. mortality
- D. demographic transition

Solution: Migration is the movement of people from one place to another with intentions of settling, p ermanently or temporarily, at a new location. Depopulation is the action of causing a country or area to have fewer people living in it. Mortality is the number of deaths in one period of time or in one place. Demographic transition is a long-term trend o f declining birth and death rates, resulting in substantive change in the age distribution of a population.

Q69. Which of the following measures can be adopted by the government to reduce revenue deficit?

- A. Tax reforms**
- B. Increasing subsidies
- C. Offering freebies

D. Increasing money supply

Solution: Tax reforms. A revenue deficit occurs when a business' sales or government revenue isn't enough to cover its basic operations. The fiscal deficit in the economy will be zero if there is no provision for borrowings in the budget. A budget deficit occurs when expenses exceed revenue, and it can indicate the financial health of a country.

Q70. Stand Up India scheme aims at supporting entrepreneurship to _____ community of India

- A. Below Poverty Line
- B. Construction workers
- C. Scheduled caste**
- D. Business person

Solution: Scheduled caste (SC). Stand Up India scheme: Launched on 5th April 2016 (by the Ministry of Finance), For financing schedule caste, schedule tribe and women Entrepreneur. It facilitates bank loans between 10 lakh and 1 crore for greenfield enterprises. Enterprise may be Agri-allied, Services, manufac turing and traditional sector. Other scheme for SC :- PM DAKSH, Babu Jagjivan Ram Chhatrawas Yojana (BJRCY), National Scheduled Castes Finance and Development Corporation (NSFDC), Scheduled Castes and Scheduled Tribes (Prevention of Atrocities) Act 1989, T he Protection of Civil Rights Act, 1955.

Q71. The velocity of circulation of money will be higher when the _____ is less than the requirements of the economy.

- A. demand for money**
- B. supply of money
- C. velocity of money
- D. elasticity of money

Solution: demand for money. It is people's desire to hold liquidity money or cash, rather than investing it in other asset forms. Money supply: It refers to the total quantity of money held by the public in various forms at any point of time in an economy. Velocity of money is a measurement of the rate at which money is exchanged in an economy. The velocity of money is typically higher in expanding economies and lower in contracting economies.

Q72. Which of the following is an INCORRECT statement concerning p ublic goods?

- A. Usually, public goods are provided by the government
- B. Consumption of public goods by people is rivalrous in nature**
- C. It is not easy to collect fees for public goods from every individual
- D. Public goods are non-excludable in na ture.

Solution: Public goods - Commodities or services that benefit all members of society, and which are often provided for free through public taxation. Rival good - A type of product or service that can only be possessed or consumed by a single user at a time. Examples - T-shirt, Bur ger etc. Non-rival good - A good that can be consumed or possessed by multiple users at the same time. Examples - Internet service, Radio service etc.

Q73. Unemployment caused by the recession of 2008-2010 is an example of which of the following types of unemployment?

- A. Classical
- B. Cyclical**
- C. Frictional
- D. Structural

Solution: Cyclical. Cyclical unemployment :- It is a result of the business cycle, where unemployment increases during recessions and decreases with economic growth. Classical unemployment - It occurs when real wages, or the cost of employing a worker, are too high. Structural unemployment - It appears when long-term conditions in the market change.

Q74. Which of the following is/are an example of public goods? a) Defense b) House

- A. Both a and b
- B. Only b
- C. Neither a nor b
- D. Only a**

Solution: Only a. Public goods are those that are non-excludable (difficult or impossible to restrict people from using them) and non-rivalrous (can be consumed by many people without reducing the supply of the good). For example: National Defence, Public transportation, Roads, and rivers. Private Goods: Excludable and rivalrous. For example: Ice cream, Houses, Cars etc.

Q75. Poverty line measures poverty on the basis of:

- A. expenditure only
- B. income level and literacy rate
- C. savings only
- D. income level or consumption expenditure**

Solution: A common method used to estimate poverty in India is based on income or consumption levels. Poverty estimation in India: Planning Commission Expert Group (1962); VM Dandekar and N Rath (1971); Alagh Committee (1979); Lakdawala Committee (1993); Tendulkar Committee (2009); Rangarajan Committee.

Q76. Cash reserve ratio is a _____ tool to control money supply. I. Qualitative II. Quantitative

- A. Only II**
- B. Only I
- C. Neither I nor II
- D. Both I and II

Solution: Only II. Cash Reserve Ratio (CRR) is the percentage of a bank's net demand and time liabilities (NDTL) that it is required to maintain as cash reserves with the central bank. Quantitative tools of monetary policy - SLR (Statutory Liquidity Ratio), Repo rate, Reserve Repo Rate, Bank Rate, MSF (Marginal Standing Facility), OMO (Open Market Operations). Qualitative tools - Marginal Requirements / Loan to value, Moral suasion, Selective Credit Control, priority sector Lending.

Q77. What is a revenue deficit in the government budget?

- A. The excess of expenditure over revenue, excluding interest payments on debt
- B. The excess of expenditure over revenue, including interest payments on debt**
- C. The excess of revenue over expenditure, excluding interest payments on debt
- D. The excess of revenue over expenditure, including interest

payments on debt

Solution: A revenue deficit occurs when revenue falls short of covering day-to-day operational expenses. Revenue expenditure covers the costs of maintaining operations and generating revenue. Interest payments are compensation made by borrowers to lenders for using borrowed money.

Q78. _____ is defined as excess of total expenditure over total receipts excluding borrowings during a fiscal year.

- A. Gross Primary deficit
- B. Fiscal deficit**
- C. Income deficit
- D. Structural deficit

Solution: Fiscal deficit is the difference between the government's total expenditure and its total receipts excluding borrowing. The gross fiscal deficit is a key variable in judging the financial health of the public sector and the stability of the economy. Gross Primary Deficit is the fiscal deficit minus interest payments on previous borrowings.

Q79. _____ refers to a method adopted by the Central Bank to persuade or convince the commercial banks to advance credit in the economic interest of the country.

- A. Marginal Standing Facility
- B. Moral Suasion**
- C. Credit Rationing
- D. Margin Requirements

Solution: Moral Suasion. Marginal Standing Facility (MSF): Facility under which scheduled commercial banks can borrow additional amounts under overnight facility by dipping in their 'Statutory Liquidity Ratio' (SLR) portfolio up to a certain limit. Credit Rationing: It is limiting the lenders of the supply of additional credit to borrowers who demand funds at a set quoted rate by the financial institutions. Margin Requirements: It refers to the difference between the current value of the security offered for loan (called collateral) and the value of loan granted.

Q80. The product method used to calculate the annual value of goods and services produced is also called _____.

- A. Value added method**
- B. Income method
- C. Expenditure method
- D. Depreciation method

Solution: Value added method is that method which measures GDP as the sum total of value addition by all producing units in the domestic territory of a country. The expenditure method is a system of consumption, investment, government spending, and in calculating gross domestic product (GDP) that combines net exports. Income method calculates GDP by adding up the incomes of all the factors of production (land, labor, capital, and entrepreneurship) in a country. Depreciation method calculates GDP by subtracting the depreciation of capital goods from the total value of output.

Q81. Which of the following methods measures poverty on the basis of income and consumption levels?

- A. Poverty band

- B. Poverty limit
- C. Poverty bar
- D. Poverty line**

Solution: Poverty line. Poverty Estimation in India : It is based on the income or consumption levels and if the income or consumption falls below a given minimum level, then the household is said to be Below the Poverty Line (BPL). It is carried out by NITI Aayog's task force through the calculation of poverty line based on the data captured by the National Sample Survey Office under the Ministry of Statistics and Programme Implementation (MOSPI).

Q82. What is/are the objective(s) of Fiscal Policy? 1) Boost growth 2) Control inflation

- A. Both 1 and 2**
- B. Only 2
- C. Only 1
- D. Neither 1 nor 2

Solution: Both 1 and 2. Fiscal policy is the government's use of spending and taxation to influence the economy. It is based on Keynesian economics, which states that governments can influence macroeconomic productivity by increasing or decreasing public spending and tax levels. It is often contrasted with monetary policy, which is enacted by central bankers and not elected government officials.

Q83. National income at constant prices means:

- A. income estimated at current year prices
- B. income estimated at base year prices**
- C. income estimated for next year prices
- D. income estimated at any year prices

Solution: income estimated at base year prices. National income - Refers to the total income earned by residents (including individuals and businesses) of a country irrespective of the location, within or outside the country's borders over a specific period.

Q84. _____ at Market Price refers to the sum total of factor incomes earned by residents of a country during an accounting year including net indirect taxes.

- A. Net National Product (NNP)**
- B. Net Domestic Product (NDP)
- C. Gross National Product (GNP)
- D. Gross Domestic Product (GDP)

Solution: Net National Product (NNP). It is at Factor Cost, also known as national income. When calculated at factor cost, the NNP includes the sum of wages, rents, interests, and profits distributed in an economy but excludes indirect taxes while including subsidies. Thus, it reflects the income earned through the productive activities of the country's normal residents. Factor Cost + Indirect Tax - Subsidy = Market Price. $NNP = GNP - Depreciation$.

Q85. Which of the following statements is/are FALSE about the Special Economic Zones (SEZs) of India ? i. One of the main objectives of the Zones Act was promotion of exports of goods and services. ii. The Government of India announced the Special Economic Zones (SEZs) Policy in the year 2011. iii. The SEZ Rules provided for different minimum land requirement for different classes of SEZs.

- A. Only i and ii
- B. Only ii and iii
- C. Only iii
- D. Only ii**

Solution: Only ii. SEZs are to have world class facilities: electricity, water, roads, transport, storage, recreational and educational facilities. Companies who set up production units in the SEZs do not have to pay taxes for an initial period of five years. The SEZ Act was passed in 2005 and came into force along with the SEZ Rules in 2006.

Q86. What is the impact of proportional taxes?

- A. Increases the marginal propensity to consume
- B. Reduces the autonomous expenditure multiplier**
- C. Increases the induced expenditure multiplier
- D. Increases the autonomous expenditure multiplier

Solution: Proportional taxes reduce the autonomous expenditure multiplier because taxes reduce the marginal propensity to consume out of income. Marginal propensity to consume (MPC) is the fraction of additional income that a person or household spends. When taxes increase, disposable income decreases, which in turn reduces the MPC.

Q87. In cost theory, the usual shape of the _____ curve is a rectangular hyperbola.

- A. total cost
- B. fixed cost
- C. variable cost
- D. average fixed cost**

Solution: The average fixed cost (AFC) curve is typically a rectangular hyperbola, which means it has a downward-sloping shape. As output increases, the average fixed cost decreases, but the rate of decrease slows down. Average fixed cost (AFC) equals total fixed cost (TFC) divided by output (Q): $AFC = \frac{TFC}{Q}$.

Q88. In which year was Micro Units Development and Refinance Agency (MUDRA) introduced?

- A. 2017
- B. 2015**
- C. 2009
- D. 2013

Solution: 2015. Micro Units Development and refinance Agency (MUDRA) was introduced to support small-scale businesses by providing loans up to Rs. 10 lakhs to non-corporate, non-farm small/micro enterprises. Loans are categorized into three types: Shishu (up to Rs. 50,000); Kishore (Rs. 50,000 - Rs. 5 Lakh); and Tarun (Rs. 5 lakh - Rs. 10 lakh).

Q89. Which of the following is true? (A) Fiscal deficit is financed from borrowings (B) Recovery of loans is a revenue receipt.

- A. Only B
- B. Neither A nor B
- C. Both A and B
- D. Only A**

Solution: Only A. Revenue receipts - They neither create any liability nor cause any reduction in the assets of the government. Examples - Direct Tax, Indirect Tax, Selling goods

and services, Interest earned etc. Capital receipts – Those receipts which either create liabilities or reduce the asset value of the government. Examples – borrowings, loans recovered, disinvestment. Fiscal deficit – The difference between the government's total expenditure and its total revenue (excluding borrowings).

C. 2016

D. 2014

Solution: 2015 . Objective – To promote cities that provide core infrastructure and give a decent quality of life to its citizens, a clean and sustainable environment through the application of 'Smart' solutions. The mission initially included 100 cities to be made 'Smart'. The list includes 13 cities (most) from Uttar Pradesh, 12 from Tamil Nadu, 10 from Maharashtra. Ministry – Ministry of Housing and Urban Affairs. Launched by – Prime Minister Narendra Modi.

Q90. When was the Smart Cities Mission launched by the Government of India?

A. 2015

B. 2017

Yatri Sir SSC